

THE TRADE DESK, INC.

(NASDAQ: TTD)

Priced for Obsolescence; the Bear Case Is Only \$10.34

BUY — \$21.00 Target

Equity Research Note · Technology — Advertising Technology · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$21.00	\$11.95	+75.7%	Medium-High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$5.6 bn (~470 mn sh × \$11.95)	Q2'26 revenue	\$715 mn (+3% YoY); Q3 guide ≥\$650 mn
Enterprise value	~\$4.1 bn	Take rate	~21.6% (stable for years)
Net cash	\$1.49 bn (\$3.16/sh); no funded debt	Client retention	>95%, 12 years running
52-week range	~\$11.77 – \$56.39	Joint business plans	217 in Q2'26 (+38% YoY)
FY2025 revenue	\$2,896 mn (+18.5%)	Next catalyst	Q3'26 earnings, ~early November

1 Investment Thesis

The Trade Desk is the leading independent demand-side platform for programmatic advertising, and independence is the entire investment thesis. The digital advertising market is bifurcating into walled gardens — Google, Meta, Amazon — where the platform grades its own homework, and the open internet, where advertisers need a neutral party to buy media objectively across publishers. The Trade Desk is that neutral party at scale, and its structural position improves as connected TV — the largest secular shift in media buying — moves more premium video inventory into programmatic channels. At \$11.95 the shares price The Trade Desk as a growth-challenged ad-tech vendor; we see the default buying platform for the open internet, with a founder-led culture and a product cycle (Kokai) that is still early in its monetization.

This is not a bet on The Trade Desk returning to 30% growth. It is a bet that the market has priced something worse than decline — obsolescence — and the business, cash flow, and balance sheet do not support that verdict. Q2 2026 revenue grew 3% against higher expectations and Q3 guidance implies ~-12% YoY — ugly, but the causes are named and cyclical: CPG and autos, jointly ~25% of the business, were crushed by tariffs, input costs, and oil; management admitted execution shortfalls; and a fee dispute with Publicis, since settled, poisoned sentiment. Nothing in that list is a structural ruling that the independent DSP model is dead. To justify \$11.95 in our framework, revenue must decline slightly for a decade at compressed 19% FCF margins — the market is underwriting permanent margin-compressed decline, contradicted by 12 years of >95% retention, joint business plans up 38% YoY, and \$13.4B of gross spend still routing through the platform.

The asymmetry is the whole pitch. Our harsh bear case — revenue declining slightly for a decade at 19% FCF margins, walled gardens enclosing CTV buying — lands at \$10.34, only 13% below the quote, and \$1.49B of net cash (\$3.16/share, no funded debt) floors the downside at 26% of the market cap. The base case (4.2% revenue CAGR, 25% FCF margins — below historical 30%+ adjusted EBITDA margins) supports \$20.12. That is ~\$9 of weighted upside against ~\$1.60 of harsh-bear downside. When the bear case needs a decade of decline to land 13% under the quote, the risk/reward is decisively asymmetric.

Our judgment on the forward trajectory centers on CTV and retail media, the two highest-growth pools in programmatic. CTV advertising is migrating from direct sold deals to programmatic buying as measurement standardizes — \$44B globally in 2025, heading toward \$81B by 2030 — and The Trade Desk's integrations with the major streaming platforms position it to capture a disproportionate share. Kokai Zuma, the agentic AI platform launched in August 2026 with claimed 32% CPA improvements, and UID2 identity adopted across NBCUniversal, Disney, Roku, and Spotify are real forward assets the market is pricing at zero. We haircut management's Kokai commentary but underwrite steady adoption because the product demonstrably improves return on ad spend.

Why the market will care (eventually)

- **The 2026 derating was earned, not arbitrary — and it overshot.** Growth deceleration fears and walled-garden noise cut the stock ~68% in a year. But the deceleration is cyclical and mix-related: tariffs crushed the two core verticals, and the Publicis dispute is settled. Cyclical verticals and one bad year are being priced as terminal decay.
- **Walled gardens' advance helps more than it hurts.** As Google, Meta, and Amazon capture larger shares of digital budgets, advertisers' need for an objective measurement and buying layer across the remaining open internet intensifies — nobody wants the referee to also own a team.
- **Buybacks at \$12 are unmodeled upside.** Shares are modeled flat; \$269M of authorization remained at mid-2026, and every dollar retired at these prices is ~75% accretion to the \$21 target. The cash build makes further authorizations likely.

2 Business Overview — What The Trade Desk Is Doing

(Ventura, California; CEO Jeff Green)

The Trade Desk, founded in 2009 by CEO Jeff Green and listed on Nasdaq in 2016, operates a self-service, cloud-based demand-side platform that lets advertisers and agencies buy digital ad inventory programmatically across display, video, audio, and CTV. Revenue is a percentage of advertising spend flowing through the platform (take rate ~21.6% in 2025 on ~\$13.4B of gross spend), plus data and platform fees, recognized net of media costs. The company does not own media — this is the point: unlike Google's DV360 or Amazon's DSP, The Trade Desk has no incentive to steer spending toward owned inventory, which is why the world's largest advertisers and agency holding companies trust it with objective buying decisions. Two agency holding companies route 30% of gross spend through the platform.

The product engine is Kokai, the AI-driven platform generation embedding predictive models across media planning, audience targeting, and measurement — with Kokai Zuma (agentic AI, August 2026) claiming 26–32% CPA improvements and migration of the full client base substantially complete. The identity layer, UID2 — an open-source, privacy-conscious identifier built for the post-cookie internet, with The Trade Desk as sole protocol administrator — has gained broad industry adoption and deepens the data advantage as third-party cookies fade. Joint business plans, the deep-integration revenue tier, are up 38% YoY and growing 6x faster than the rest of the business, roughly half of revenue by CEO disclosure.

Competition comes from walled-garden DSPs (Google DV360, Amazon), which bundle buying with owned inventory, and from smaller independent DSPs. The threat that matters is Amazon — marketplace plus behavioral data fused with a DSP and owned inventory, with agencies actively testing it and fee pressure on the take rate. Google's DV360 was not restricted by the September 2026 ad-tech antitrust remedies — a modest positive for the open internet, no structural help against DV360 itself.

What the company is doing now

- **Kokai / Kokai Zuma.** Agentic AI platform — Koa Assistant, forecasting, measurement, automated workflows; the product cycle that is still early in monetization.
- **UID2 / EUID identity.** Open-source hashed-email identity adopted by NBCUniversal, Paramount, Disney/Hulu, Roku (83.6M households), Spotify — the data moat for the post-cookie internet.
- **OpenPath + Ventura.** Direct buyer-to-publisher routing and the February 2026 smart-TV OS collaboration — optionality, not current revenue.
- **Retention as the moat's proof.** >95% client retention for 12 straight years; JBPs growing 6x faster than the rest of the business. Agencies vote with spend, and they keep voting for independence.

3 Financial Analysis

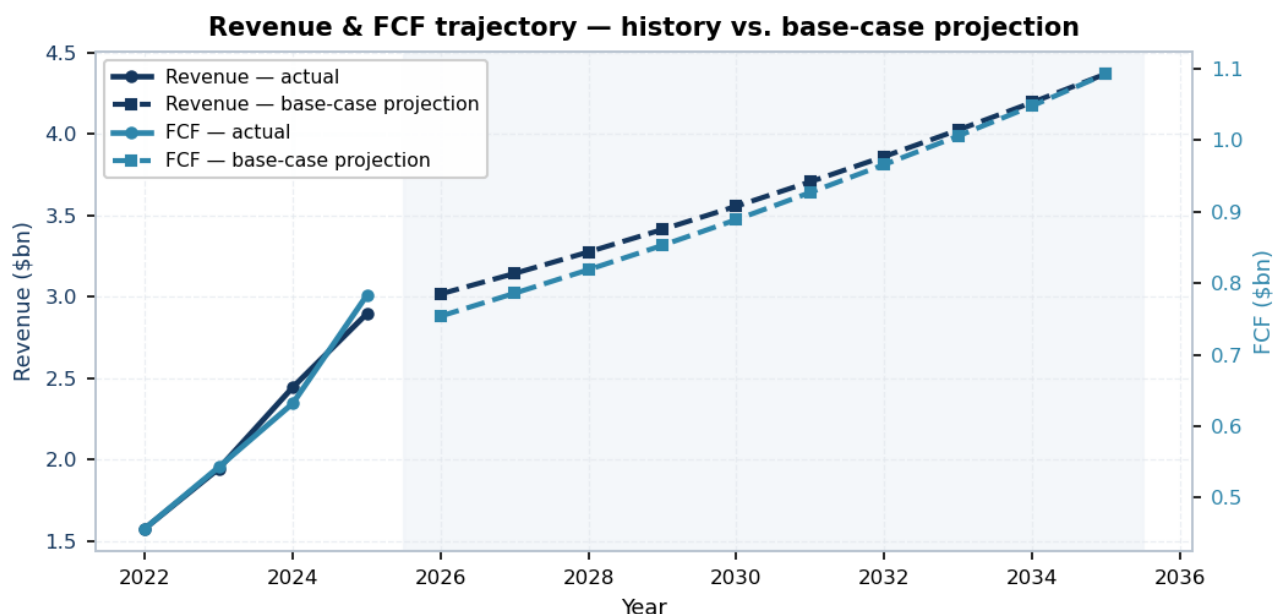
\$ mn	2022	2023	2024	2025	H1'26
Revenue	1,578	1,946	2,445	2,896	1,404
Revenue growth	+31.9%	+23.3%	+25.6%	+18.5%	+6.9%*
Gross margin	82.2%	81.2%	80.7%	78.6%	—
Adj. EBITDA margin	—	—	41%	41%	~32%**
GAAP operating margin	7.2%	10.3%	17.5%	20.4%	—

*H1'26 vs H1'25. **Adj. EBITDA \$447.4M on \$1,403.9M revenue. Sources: company releases (2026).

The Trade Desk has grown revenue at 20%+ rates for most of its public life — \$1,578M (2022) to \$2,896M (2025) — while maintaining adjusted EBITDA margins in the 40% range and generating substantial free cash flow: a rare combination of growth and profitability in ad tech, funded organically without serial dilution. Gross margins run ~80%; GAAP operating margin expanded from 7.2% (2022) to 20.4% (2025). H1 2026 shows the cyclical trough: revenue +6.9% YoY, adjusted EBITDA margin ~32% — the deceleration the market is pricing as permanent.

Balance sheet (June 30, 2026): cash \$1,123M plus short-term investments \$362M = \$1,485M liquid; no funded debt. Buybacks of \$241M in H1 2026 (\$269M authorization remaining) retired shares at depressed prices; diluted shares fell from 495.8M to 469.9M year over year. The cash floor is not a mood — it is \$3.16 per share, liquid, and growing.

Revenue & cash-flow trajectory



History: company filings via Yahoo Finance. Projections: illustrative base-case paths at the scenario's 4.2% revenue CAGR with FCF at the 25% scenario margin.

4 Moat & Competition

- **Independence as the product.** No owned media means no incentive to steer spend — the structural reason the world's largest advertisers trust The Trade Desk with objective buying across the open internet.
- **Agency workflow integration.** A decade of embedded workflows, 217 joint business plans growing 6x faster than the rest of the business, and >95% retention for 12 years — switching costs measured in spend, not contracts.

- **Identity and data position.** UID2 adoption across tier-one CTV publishers plus the data marketplace make The Trade Desk the natural pipe connecting retail-media data to open-internet inventory.
- **Profitability as a weapon.** ~40% adjusted EBITDA margins and \$1.49B of net cash fund buybacks at trough prices and product investment through the cycle — while unprofitable independent rivals cannot.

5 Valuation — 10-year scenario FCF DCF, Fair Value \$21

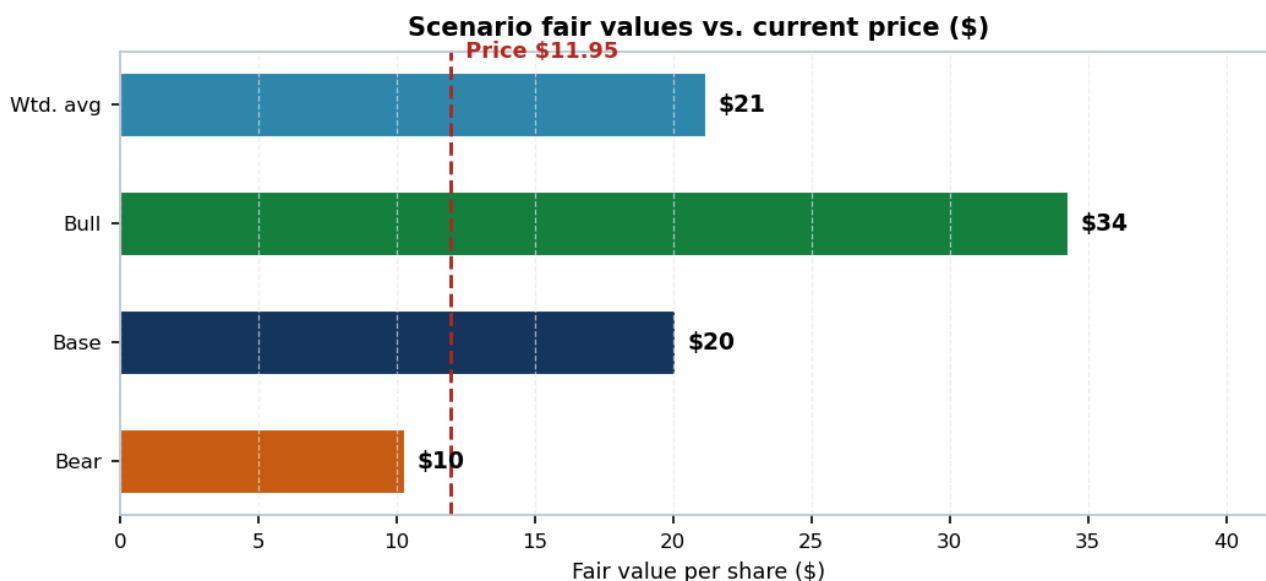
We value The Trade Desk on an explicit 3-scenario 10-year DCF: 25/50/25 probability weights, scenario-specific discounts (base 12%, bear +250bp to 14.5%, bull –150bp to 10.5%), terminal growth of 1.5% / 2.5% / 2.5% on normalized mid-cycle margins. The bear is required to hurt and to sit below the price — and it does, at \$10.34. The target is the weighted DCF, with no analyst overrule: $0.25 \times \$10.34 + 0.50 \times \$20.12 + 0.25 \times \$34.31 = \21.22 , set as the \$21 target.

The base case (4.2% revenue CAGR, 25% FCF margins) assumes continued compounding of the independent leader in a growing market — below historical 30%+ adjusted EBITDA margins, a deliberate haircut. The bull case (8.2% revenue CAGR, 28% FCF margins) assumes The Trade Desk becomes the de facto operating system for open-internet advertising, with Kokai driving take-rate expansion and retail-media data flows accelerating growth above historical rates. Shares are modeled flat — continued buybacks at ~\$12 are unmodeled upside.

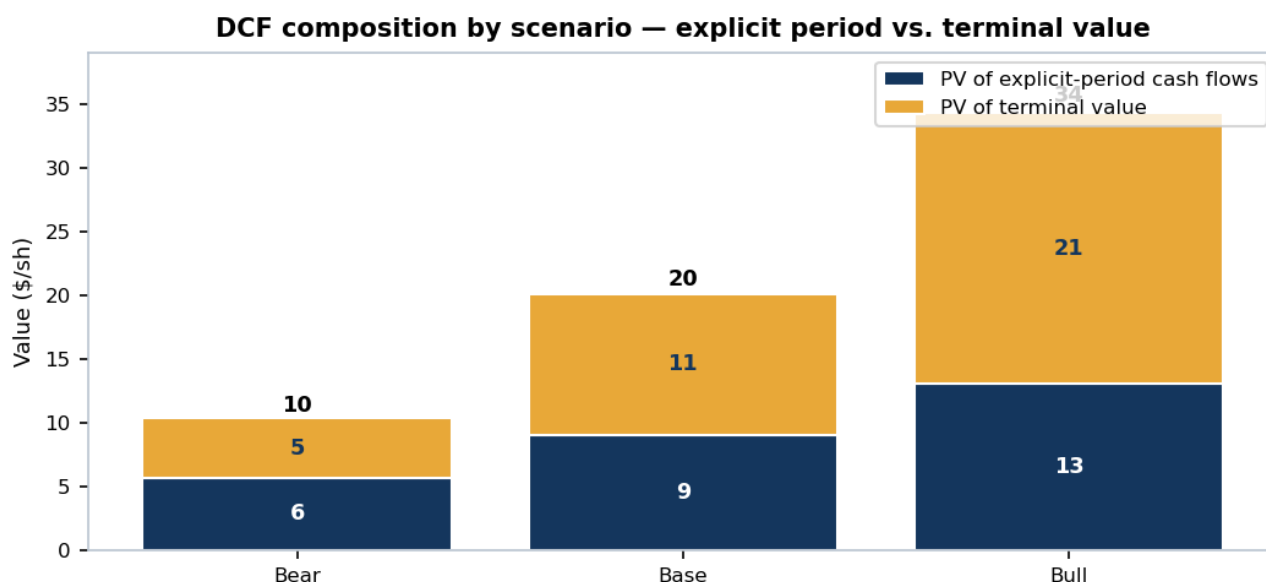
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Walled gardens enclose CTV buying; revenue declines slightly for a decade; take rates compress	–0.3%	19%	14.5% / 1.5%	45%	\$10.34
Base	Continued compounding of the independent leader; CTV migration; UID2 entrenches data advantage	+4.2%	25%	12.0% / 2.5%	55%	\$20.12
Bull	De facto OS for open-internet advertising; Kokai drives take-rate expansion; retail-media data accelerates growth	+8.2%	28%	10.5% / 2.5%	62%	\$34.31
Wtd. avg	Probability-weighted (25/50/25) → \$21.00 target					\$21.00

$0.25 \times \$10.34 + 0.50 \times \$20.12 + 0.25 \times \$34.31 = \21.22 , set as the \$21 target. Terminal-year margins are FCF margins.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$/sh. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Walled-garden take-rate pressure.** Amazon DSP fuses marketplace/behavioral data with owned inventory; agencies are testing it and winning fee concessions. The 21.6% take rate is stable but not guaranteed.
- **Agency concentration.** Two holding companies represent 30% of 2025 gross platform spend. The settled Publicis fee dispute showed how fast one relationship can dent sentiment.
- **CPG/auto cyclical (~25% of business).** Tariffs, input costs, and oil crushed the two core verticals in 2026. If these do not normalize, the 'cyclical' thesis fails and the bear's revenue decline is realized.
- **Kokai Zuma adoption and AI execution.** The bull case needs agentic AI to re-accelerate share; at least one buyer says TTD may still be catching up on AI features versus Google/Meta automation.
- **Identity fragmentation.** Open-internet targeting depends on the identity fabric; UID2 vs RampID vs Privacy Sandbox is unresolved, and adoption has not yet translated to measurable publisher revenue difference.
- **Key-person risk.** Founder-CEO Jeff Green is central to strategy, culture, and industry relationships.
- **Valuation sensitivity.** Growth-multiple compression on any deceleration scare can drive sharp drawdowns — the stock fell 25% after Q2 alone.

What would change our mind

This call is wrong if: the take rate breaks durably below ~19% while gross spend also declines — i.e., the walled gardens are taking spend, not just pressuring fees; two more quarters of double-digit YoY revenue decline with JBP growth decelerating below 15% — the 'cyclical' thesis fails and the decline is structural; net cash is deployed into defensive M&A at high multiples or a special dividend instead of buybacks at depressed prices — the cash floor is the core of the asymmetry; or UID2 is abandoned by a tier-one CTV publisher in favor of RampID or first-party stacks.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.